

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 1788

By: Lepak

AS INTRODUCED

An Act relating to revenue and taxation; amending 68 O.S. 2021, Section 2355, as last amended by Section 1, Chapter 27, 1st Extraordinary Session, O.S.L. 2023 (68 O.S. Supp. 2024, Section 2355), which relates to individual income tax rates; modifying income tax rates; amending 68 O.S. 2021, Section 2358, as last amended by Section 155, Chapter 452, O.S.L. 2024 (68 O.S. Supp. 2024, Section 2358), which relates to Oklahoma taxable income and Oklahoma adjusted gross income; modifying standard deduction amounts; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 68 O.S. 2021, Section 2355, as last amended by Section 1, Chapter 27, 1st Extraordinary Session, O.S.L. 2023 (68 O.S. Supp. 2024, Section 2355), is amended to read as follows:

Section 2355. A. Individuals. For all taxable years beginning after December 31, 1998, and before January 1, 2006, a tax is hereby imposed upon the Oklahoma taxable income of every resident or nonresident individual, which tax shall be computed at the option of the taxpayer under one of the two following methods:

1. METHOD 1.

a. Single individuals and married individuals filing separately not deducting federal income tax:

(1) 1/2% tax on first \$1,000.00 or part thereof,

(2) 1% tax on next \$1,500.00 or part thereof,

(3) 2% tax on next \$1,250.00 or part thereof,

(4) 3% tax on next \$1,150.00 or part thereof,

(5) 4% tax on next \$1,300.00 or part thereof,

(6) 5% tax on next \$1,500.00 or part thereof,

(7) 6% tax on next \$2,300.00 or part thereof, and

(8) (a) for taxable years beginning after December 31, 1998, and before January 1, 2002, 6.75% tax on the remainder,

(b) for taxable years beginning on or after January 1, 2002, and before January 1, 2004, 7% tax on the remainder, and

(c) for taxable years beginning on or after January 1, 2004, 6.65% tax on the remainder.

b. Married individuals filing jointly and surviving spouse to the extent and in the manner that a surviving spouse is permitted to file a joint return under the provisions of the Internal Revenue Code and heads of households as defined in the Internal Revenue Code not deducting federal income tax:

- (1) 1/2% tax on first \$2,000.00 or part thereof,
- (2) 1% tax on next \$3,000.00 or part thereof,
- (3) 2% tax on next \$2,500.00 or part thereof,
- (4) 3% tax on next \$2,300.00 or part thereof,
- (5) 4% tax on next \$2,400.00 or part thereof,
- (6) 5% tax on next \$2,800.00 or part thereof,
- (7) 6% tax on next \$6,000.00 or part thereof, and
- (8) (a) for taxable years beginning after December 31, 1998, and before January 1, 2002, 6.75% tax on the remainder,
- (b) for taxable years beginning on or after January 1, 2002, and before January 1, 2004, 7% tax on the remainder, and
- (c) for taxable years beginning on or after January 1, 2004, 6.65% tax on the remainder.

2. METHOD 2.

- a. Single individuals and married individuals filing separately deducting federal income tax:

- (1) 1/2% tax on first \$1,000.00 or part thereof,
- (2) 1% tax on next \$1,500.00 or part thereof,
- (3) 2% tax on next \$1,250.00 or part thereof,
- (4) 3% tax on next \$1,150.00 or part thereof,
- (5) 4% tax on next \$1,200.00 or part thereof,
- (6) 5% tax on next \$1,400.00 or part thereof,

- (7) 6% tax on next \$1,500.00 or part thereof,
- (8) 7% tax on next \$1,500.00 or part thereof,
- (9) 8% tax on next \$2,000.00 or part thereof,
- (10) 9% tax on next \$3,500.00 or part thereof, and
- (11) 10% tax on the remainder.

b. Married individuals filing jointly and surviving spouse to the extent and in the manner that a surviving spouse is permitted to file a joint return under the provisions of the Internal Revenue Code and heads of households as defined in the Internal Revenue Code deducting federal income tax:

- (1) 1/2% tax on the first \$2,000.00 or part thereof,
- (2) 1% tax on the next \$3,000.00 or part thereof,
- (3) 2% tax on the next \$2,500.00 or part thereof,
- (4) 3% tax on the next \$1,400.00 or part thereof,
- (5) 4% tax on the next \$1,500.00 or part thereof,
- (6) 5% tax on the next \$1,600.00 or part thereof,
- (7) 6% tax on the next \$1,250.00 or part thereof,
- (8) 7% tax on the next \$1,750.00 or part thereof,
- (9) 8% tax on the next \$3,000.00 or part thereof,
- (10) 9% tax on the next \$6,000.00 or part thereof, and
- (11) 10% tax on the remainder.

B. Individuals. For all taxable years beginning on or after January 1, 2008, and ending any tax year which begins after December

31, 2015, for which the determination required pursuant to Sections 4 and 5 of this act is made by the State Board of Equalization, a tax is hereby imposed upon the Oklahoma taxable income of every resident or nonresident individual, which tax shall be computed as follows:

1. Single individuals and married individuals filing separately:

(a) 1/2% tax on first \$1,000.00 or part thereof,

(b) 1% tax on next \$1,500.00 or part thereof,

(c) 2% tax on next \$1,250.00 or part thereof,

(d) 3% tax on next \$1,150.00 or part thereof,

(e) 4% tax on next \$2,300.00 or part thereof,

(f) 5% tax on next \$1,500.00 or part thereof,

(g) 5.50% tax on the remainder for the 2008 tax year and

any subsequent tax year unless the rate prescribed by

subparagraph (h) of this paragraph is in effect, and

(h) 5.25% tax on the remainder for the 2009 and subsequent

tax years. The decrease in the top marginal

individual income tax rate otherwise authorized by

this subparagraph shall be contingent upon the

determination required to be made by the State Board

of Equalization pursuant to Section 2355.1A of this

title.

1        2. Married individuals filing jointly and surviving spouse to  
2 the extent and in the manner that a surviving spouse is permitted to  
3 file a joint return under the provisions of the Internal Revenue  
4 Code and heads of households as defined in the Internal Revenue  
5 Code:

- 6            (a) 1/2% tax on first \$2,000.00 or part thereof,
- 7            (b) 1% tax on next \$3,000.00 or part thereof,
- 8            (c) 2% tax on next \$2,500.00 or part thereof,
- 9            (d) 3% tax on next \$2,300.00 or part thereof,
- 10           (e) 4% tax on next \$2,400.00 or part thereof,
- 11           (f) 5% tax on next \$2,800.00 or part thereof,
- 12           (g) 5.50% tax on the remainder for the 2008 tax year and  
13                any subsequent tax year unless the rate prescribed by  
14                subparagraph (h) of this paragraph is in effect, and  
15            (h) 5.25% tax on the remainder for the 2009 and subsequent  
16                tax years. The decrease in the top marginal  
17                individual income tax rate otherwise authorized by  
18                this subparagraph shall be contingent upon the  
19                determination required to be made by the State Board  
20                of Equalization pursuant to Section 2355.1A of this  
21                title.

22        C. Individuals. For all taxable years beginning on or after  
23 January 1, 2024, and ending December 31, 2025, a tax is hereby  
24

1 imposed upon the Oklahoma taxable income of every resident or  
2 nonresident individual, which tax shall be computed as follows:

3 1. Single individuals and married individuals filing  
4 separately:

- 5 (a) 0.25% tax on first \$1,000.00 or part thereof,
- 6 (b) 0.75% tax on next \$1,500.00 or part thereof,
- 7 (c) 1.75% tax on next \$1,250.00 or part thereof,
- 8 (d) 2.75% tax on next \$1,150.00 or part thereof,
- 9 (e) 3.75% tax on next \$2,300.00 or part thereof,
- 10 (f) 4.75% tax on the remainder.

11 2. Married individuals filing jointly and surviving spouse to  
12 the extent and in the manner that a surviving spouse is permitted to  
13 file a joint return under the provisions of the Internal Revenue  
14 Code and heads of households as defined in the Internal Revenue  
15 Code:

- 16 (a) 0.25% tax on first \$2,000.00 or part thereof,
- 17 (b) 0.75% tax on next \$3,000.00 or part thereof,
- 18 (c) 1.75% tax on next \$2,500.00 or part thereof,
- 19 (d) 2.75% tax on next \$2,300.00 or part thereof,
- 20 (e) 3.75% tax on next \$4,600.00 or part thereof,
- 21 (f) 4.75% tax on the remainder.

22 No deduction for federal income taxes paid shall be allowed to  
23 any taxpayer to arrive at taxable income.

1       D. Individuals. For all taxable years beginning on or after  
2 January 1, 2026, a tax is hereby imposed upon the Oklahoma taxable  
3 income of every resident or nonresident individual, which tax shall  
4 be computed as follows:

5       1. Single individuals and married individuals filing separately  
6 at the rate of four and seventy-five hundredths percent (4.75%);

7       2. Married individuals filing jointly and surviving spouse to  
8 the extent and in the manner that a surviving spouse is permitted to  
9 file a joint return under the provisions of the Internal Revenue  
10 Code and heads of households as defined in the Internal Revenue Code  
11 at the rate of four and seventy-five hundredths percent (4.75%).

12       No deduction for federal income taxes paid shall be allowed to  
13 any taxpayer to arrive at taxable income.

14       E. Nonresident aliens. In lieu of the rates set forth in  
15 ~~subsection A above~~ this section, there shall be imposed on  
16 nonresident aliens, as defined in the Internal Revenue Code, a tax  
17 of eight percent (8%) instead of thirty percent (30%) as used in the  
18 Internal Revenue Code, with respect to the Oklahoma taxable income  
19 of such nonresident aliens as determined under the provision of the  
20 Oklahoma Income Tax Act.

21       Every payer of amounts covered by this subsection shall deduct  
22 and withhold from such amounts paid each payee an amount equal to  
23 eight percent (8%) thereof. Every payer required to deduct and  
24 withhold taxes under this subsection shall for each quarterly period



1 on or before the last day of the month following the close of each  
2 such quarterly period, pay over the amount so withheld as taxes to  
3 the Tax Commission, and shall file a return with each such payment.  
4 Such return shall be in such form as the Tax Commission shall  
5 prescribe. Every payer required under this subsection to deduct and  
6 withhold a tax from a payee shall, as to the total amounts paid to  
7 each payee during the calendar year, furnish to such payee, on or  
8 before January 31, of the succeeding year, a written statement  
9 showing the name of the payer, the name of the payee and the payee's  
10 Social Security account number, if any, the total amount paid  
11 subject to taxation, and the total amount deducted and withheld as  
12 tax and such other information as the Tax Commission may require.  
13 Any payer who fails to withhold or pay to the Tax Commission any  
14 sums herein required to be withheld or paid shall be personally and  
15 individually liable therefor to the State of Oklahoma.

16 ~~E.~~ F. Corporations. For all taxable years beginning after  
17 December 31, 2021, a tax is hereby imposed upon the Oklahoma taxable  
18 income of every corporation doing business within this state or  
19 deriving income from sources within this state in an amount equal to  
20 four percent (4%) thereof.

21 There shall be no additional Oklahoma income tax imposed on  
22 accumulated taxable income or on undistributed personal holding  
23 company income as those terms are defined in the Internal Revenue  
24 Code.

1       ~~F.~~ G. Certain foreign corporations. In lieu of the tax imposed  
2 in the first paragraph of subsection ~~D~~ F of this section, for all  
3 taxable years beginning after December 31, 2021, there shall be  
4 imposed on foreign corporations, as defined in the Internal Revenue  
5 Code, a tax of four percent (4%) instead of thirty percent (30%) as  
6 used in the Internal Revenue Code, where such income is received  
7 from sources within Oklahoma, in accordance with the provisions of  
8 the Internal Revenue Code and the Oklahoma Income Tax Act.

9       Every payer of amounts covered by this subsection shall deduct  
10 and withhold from such amounts paid each payee an amount equal to  
11 four percent (4%) thereof. Every payer required to deduct and  
12 withhold taxes under this subsection shall for each quarterly period  
13 on or before the last day of the month following the close of each  
14 such quarterly period, pay over the amount so withheld as taxes to  
15 the Tax Commission, and shall file a return with each such payment.  
16 Such return shall be in such form as the Tax Commission shall  
17 prescribe. Every payer required under this subsection to deduct and  
18 withhold a tax from a payee shall, as to the total amounts paid to  
19 each payee during the calendar year, furnish to such payee, on or  
20 before January 31, of the succeeding year, a written statement  
21 showing the name of the payer, the name of the payee and the payee's  
22 Social Security account number, if any, the total amounts paid  
23 subject to taxation, the total amount deducted and withheld as tax  
24 and such other information as the Tax Commission may require. Any

1 payer who fails to withhold or pay to the Tax Commission any sums  
2 herein required to be withheld or paid shall be personally and  
3 individually liable therefor to the State of Oklahoma.

4 ~~G.~~ H. Fiduciaries. A tax is hereby imposed upon the Oklahoma  
5 taxable income of every trust and estate at the same rates as are  
6 provided in subsection B ~~or~~, C, or D of this section for single  
7 individuals. Fiduciaries are not allowed a deduction for any  
8 federal income tax paid.

9 ~~H.~~ Tax rate tables. For all taxable years beginning after  
10 December 31, 1991, in lieu of the tax imposed by subsection A, B ~~or~~,  
11 C or D of this section, as applicable there is hereby imposed for  
12 each taxable year on the taxable income of every individual, whose  
13 taxable income for such taxable year does not exceed the ceiling  
14 amount, a tax determined under tables, applicable to such taxable  
15 year which shall be prescribed by the Tax Commission and which shall  
16 be in such form as it determines appropriate. In the table so  
17 prescribed, the amounts of the tax shall be computed on the basis of  
18 the rates prescribed by subsection A, B ~~or~~, C or D of this section.  
19 For purposes of this subsection, the term "ceiling amount" means,  
20 with respect to any taxpayer, the amount determined by the Tax  
21 Commission for the tax rate category in which such taxpayer falls.

22 SECTION 2. AMENDATORY 68 O.S. 2021, Section 2358, as  
23 last amended by Section 155, Chapter 452, O.S.L. 2024 (68 O.S. Supp.  
24 2024, Section 2358), is amended to read as follows:

1       Section 2358. For all tax years beginning after December 31,  
2 1981, taxable income and adjusted gross income shall be adjusted to  
3 arrive at Oklahoma taxable income and Oklahoma adjusted gross income  
4 as required by this section.

5       A. The taxable income of any taxpayer shall be adjusted to  
6 arrive at Oklahoma taxable income for corporations and Oklahoma  
7 adjusted gross income for individuals, as follows:

8       1. There shall be added interest income on obligations of any  
9 state or political subdivision thereto which is not otherwise  
10 exempted pursuant to other laws of this state, to the extent that  
11 such interest is not included in taxable income and adjusted gross  
12 income.

13       2. There shall be deducted amounts included in such income that  
14 the state is prohibited from taxing because of the provisions of the  
15 Federal Constitution, the State Constitution, federal laws or laws  
16 of Oklahoma.

17       3. The amount of any federal net operating loss deduction shall  
18 be adjusted as follows:

19           a. For carryovers and carrybacks to taxable years  
20 beginning before January 1, 1981, the amount of any  
21 net operating loss deduction allowed to a taxpayer for  
22 federal income tax purposes shall be reduced to an  
23 amount which is the same portion thereof as the loss  
24 from sources within this state, as determined pursuant

1 to this section and Section 2362 of this title, for  
2 the taxable year in which such loss is sustained is of  
3 the total loss for such year;

4 b. For carryovers and carrybacks to taxable years

5 beginning after December 31, 1980, the amount of any  
6 net operating loss deduction allowed for the taxable  
7 year shall be an amount equal to the aggregate of the  
8 Oklahoma net operating loss carryovers and carrybacks  
9 to such year. Oklahoma net operating losses shall be  
10 separately determined by reference to Section 172 of  
11 the Internal Revenue Code, 26 U.S.C., Section 172, as  
12 modified by the Oklahoma Income Tax Act, Section 2351  
13 et seq. of this title, and shall be allowed without  
14 regard to the existence of a federal net operating  
15 loss. For tax years beginning after December 31,  
16 2000, and ending before January 1, 2008, the years to  
17 which such losses may be carried shall be determined  
18 solely by reference to Section 172 of the Internal  
19 Revenue Code, 26 U.S.C., Section 172, with the  
20 exception that the terms "net operating loss" and  
21 "taxable income" shall be replaced with "Oklahoma net  
22 operating loss" and "Oklahoma taxable income". For  
23 tax years beginning after December 31, 2007, and  
24 ending before January 1, 2009, years to which such

1 losses may be carried back shall be limited to two (2)  
2 years. For tax years beginning after December 31,  
3 2008, the years to which such losses may be carried  
4 back shall be determined solely by reference to  
5 Section 172 of the Internal Revenue Code, 26 U.S.C.,  
6 Section 172, with the exception that the terms "net  
7 operating loss" and "taxable income" shall be replaced  
8 with "Oklahoma net operating loss" and "Oklahoma  
9 taxable income".

10 4. Items of the following nature shall be allocated as  
11 indicated. Allowable deductions attributable to items separately  
12 allocable in subparagraphs a, b and c of this paragraph, whether or  
13 not such items of income were actually received, shall be allocated  
14 on the same basis as those items:

15 a. Income from real and tangible personal property, such  
16 as rents, oil and mining production or royalties, and  
17 gains or losses from sales of such property, shall be  
18 allocated in accordance with the situs of such  
19 property;

20 b. Income from intangible personal property, such as  
21 interest, dividends, patent or copyright royalties,  
22 and gains or losses from sales of such property, shall  
23 be allocated in accordance with the domiciliary situs  
24 of the taxpayer, except that:

1 (1) where such property has acquired a nonunitary  
2 business or commercial situs apart from the  
3 domicile of the taxpayer such income shall be  
4 allocated in accordance with such business or  
5 commercial situs; interest income from  
6 investments held to generate working capital for  
7 a unitary business enterprise shall be included  
8 in apportionable income; a resident trust or  
9 resident estate shall be treated as having a  
10 separate commercial or business situs insofar as  
11 undistributed income is concerned, but shall not  
12 be treated as having a separate commercial or  
13 business situs insofar as distributed income is  
14 concerned,

15 (2) for taxable years beginning after December 31,  
16 2003, capital or ordinary gains or losses from  
17 the sale of an ownership interest in a publicly  
18 traded partnership, as defined by Section 7704(b)  
19 of the Internal Revenue Code, shall be allocated  
20 to this state in the ratio of the original cost  
21 of such partnership's tangible property in this  
22 state to the original cost of such partnership's  
23 tangible property everywhere, as determined at  
24 the time of the sale; if more than fifty percent

(50%) of the value of the partnership's assets consists of intangible assets, capital or ordinary gains or losses from the sale of an ownership interest in the partnership shall be allocated to this state in accordance with the sales factor of the partnership for its first full tax period immediately preceding its tax period during which the ownership interest in the partnership was sold; the provisions of this division shall only apply if the capital or ordinary gains or losses from the sale of an ownership interest in a partnership do not constitute qualifying gain receiving capital treatment as defined in subparagraph a of paragraph 2 of subsection F of this section,

(3) income from such property which is required to be allocated pursuant to the provisions of paragraph 5 of this subsection shall be allocated as herein provided;

c. Net income or loss from a business activity which is not a part of business carried on within or without the state of a unitary character shall be separately allocated to the state in which such activity is conducted;



1           d.    In the case of a manufacturing or processing  
2               enterprise the business of which in Oklahoma consists  
3               solely of marketing its products by:

4               (1)   sales having a situs without this state, shipped  
5                   directly to a point from without the state to a  
6                   purchaser within the state, commonly known as  
7                   interstate sales,

8               (2)   sales of the product stored in public warehouses  
9                   within the state pursuant to "in transit"  
10                  tariffs, as prescribed and allowed by the  
11                  Interstate Commerce Commission, to a purchaser  
12                  within the state,

13              (3)   sales of the product stored in public warehouses  
14                  within the state where the shipment to such  
15                  warehouses is not covered by "in transit"  
16                  tariffs, as prescribed and allowed by the  
17                  Interstate Commerce Commission, to a purchaser  
18                  within or without the state,

19              the Oklahoma net income shall, at the option of the  
20              taxpayer, be that portion of the total net income of  
21              the taxpayer for federal income tax purposes derived  
22              from the manufacture and/or processing and sales  
23              everywhere as determined by the ratio of the sales  
24              defined in this section made to the purchaser within

1 the state to the total sales everywhere. The term  
2 "public warehouse" as used in this subparagraph means  
3 a licensed public warehouse, the principal business of  
4 which is warehousing merchandise for the public;

5 e. In the case of insurance companies, Oklahoma taxable  
6 income shall be taxable income of the taxpayer for  
7 federal tax purposes, as adjusted for the adjustments  
8 provided pursuant to the provisions of paragraphs 1  
9 and 2 of this subsection, apportioned as follows:

10 (1) except as otherwise provided by division (2) of  
11 this subparagraph, taxable income of an insurance  
12 company for a taxable year shall be apportioned  
13 to this state by multiplying such income by a  
14 fraction, the numerator of which is the direct  
15 premiums written for insurance on property or  
16 risks in this state, and the denominator of which  
17 is the direct premiums written for insurance on  
18 property or risks everywhere. For purposes of  
19 this subsection, the term "direct premiums  
20 written" means the total amount of direct  
21 premiums written, assessments and annuity  
22 considerations as reported for the taxable year  
23 on the annual statement filed by the company with  
24 the Insurance Commissioner in the form approved

1 by the National Association of Insurance  
2 Commissioners, or such other form as may be  
3 prescribed in lieu thereof,

4 (2) if the principal source of premiums written by an  
5 insurance company consists of premiums for  
6 reinsurance accepted by it, the taxable income of  
7 such company shall be apportioned to this state  
8 by multiplying such income by a fraction, the  
9 numerator of which is the sum of (a) direct  
10 premiums written for insurance on property or  
11 risks in this state, plus (b) premiums written  
12 for reinsurance accepted in respect of property  
13 or risks in this state, and the denominator of  
14 which is the sum of (c) direct premiums written  
15 for insurance on property or risks everywhere,  
16 plus (d) premiums written for reinsurance  
17 accepted in respect of property or risks  
18 everywhere. For purposes of this paragraph,  
19 premiums written for reinsurance accepted in  
20 respect of property or risks in this state,  
21 whether or not otherwise determinable, may at the  
22 election of the company be determined on the  
23 basis of the proportion which premiums written  
24 for insurance accepted from companies

1                   commercially domiciled in Oklahoma bears to  
2                   premiums written for reinsurance accepted from  
3                   all sources, or alternatively in the proportion  
4                   which the sum of the direct premiums written for  
5                   insurance on property or risks in this state by  
6                   each ceding company from which reinsurance is  
7                   accepted bears to the sum of the total direct  
8                   premiums written by each such ceding company for  
9                   the taxable year.

10           5. The net income or loss remaining after the separate  
11 allocation in paragraph 4 of this subsection, being that which is  
12 derived from a unitary business enterprise, shall be apportioned to  
13 this state on the basis of the arithmetical average of three factors  
14 consisting of property, payroll and sales or gross revenue  
15 enumerated as subparagraphs a, b and c of this paragraph. Net  
16 income or loss as used in this paragraph includes that derived from  
17 patent or copyright royalties, purchase discounts, and interest on  
18 accounts receivable relating to or arising from a business activity,  
19 the income from which is apportioned pursuant to this subsection,  
20 including the sale or other disposition of such property and any  
21 other property used in the unitary enterprise. Deductions used in  
22 computing such net income or loss shall not include taxes based on  
23 or measured by income. Provided, for corporations whose property  
24 for purposes of the tax imposed by Section 2355 of this title has an

1 initial investment cost equaling or exceeding Two Hundred Million  
2 Dollars (\$200,000,000.00) and such investment is made on or after  
3 July 1, 1997, or for corporations which expand their property or  
4 facilities in this state and such expansion has an investment cost  
5 equaling or exceeding Two Hundred Million Dollars (\$200,000,000.00)  
6 over a period not to exceed three (3) years, and such expansion is  
7 commenced on or after January 1, 2000, the three factors shall be  
8 apportioned with property and payroll, each comprising twenty-five  
9 percent (25%) of the apportionment factor and sales comprising fifty  
10 percent (50%) of the apportionment factor. The apportionment  
11 factors shall be computed as follows:

12           a. The property factor is a fraction, the numerator of  
13               which is the average value of the taxpayer's real and  
14               tangible personal property owned or rented and used in  
15               this state during the tax period and the denominator  
16               of which is the average value of all the taxpayer's  
17               real and tangible personal property everywhere owned  
18               or rented and used during the tax period.

19               (1) Property, the income from which is separately  
20               allocated in paragraph 4 of this subsection,  
21               shall not be included in determining this  
22               fraction. The numerator of the fraction shall  
23               include a portion of the investment in  
24               transportation and other equipment having no

1 fixed situs, such as rolling stock, buses, trucks  
2 and trailers, including machinery and equipment  
3 carried thereon, airplanes, salespersons'  
4 automobiles and other similar equipment, in the  
5 proportion that miles traveled in Oklahoma by  
6 such equipment bears to total miles traveled,

7 (2) Property owned by the taxpayer is valued at its  
8 original cost. Property rented by the taxpayer  
9 is valued at eight times the net annual rental  
10 rate. Net annual rental rate is the annual  
11 rental rate paid by the taxpayer, less any annual  
12 rental rate received by the taxpayer from  
13 subrentals,

14 (3) The average value of property shall be determined  
15 by averaging the values at the beginning and  
16 ending of the tax period but the Oklahoma Tax  
17 Commission may require the averaging of monthly  
18 values during the tax period if reasonably  
19 required to reflect properly the average value of  
20 the taxpayer's property;

21 b. The payroll factor is a fraction, the numerator of  
22 which is the total compensation for services rendered  
23 in the state during the tax period, and the  
24 denominator of which is the total compensation for

1 services rendered everywhere during the tax period.

2 "Compensation", as used in this subsection means those  
3 paid-for services to the extent related to the unitary  
4 business but does not include officers' salaries,  
5 wages and other compensation.

6 (1) In the case of a transportation enterprise, the  
7 numerator of the fraction shall include a portion  
8 of such expenditure in connection with employees  
9 operating equipment over a fixed route, such as  
10 railroad employees, airline pilots, or bus  
11 drivers, in this state only a part of the time,  
12 in the proportion that mileage traveled in  
13 Oklahoma bears to total mileage traveled by such  
14 employees,

15 (2) In any case the numerator of the fraction shall  
16 include a portion of such expenditures in  
17 connection with itinerant employees, such as  
18 traveling salespersons, in this state only a part  
19 of the time, in the proportion that time spent in  
20 Oklahoma bears to total time spent in furtherance  
21 of the enterprise by such employees;

22 c. The sales factor is a fraction, the numerator of which  
23 is the total sales or gross revenue of the taxpayer in  
24 this state during the tax period, and the denominator

1 of which is the total sales or gross revenue of the  
2 taxpayer everywhere during the tax period. "Sales",  
3 as used in this subsection does not include sales or  
4 gross revenue which are separately allocated in  
5 paragraph 4 of this subsection.

6 (1) Sales of tangible personal property have a situs  
7 in this state if the property is delivered or  
8 shipped to a purchaser other than the United  
9 States government, within this state regardless  
10 of the FOB point or other conditions of the sale;  
11 or the property is shipped from an office, store,  
12 warehouse, factory or other place of storage in  
13 this state and (a) the purchaser is the United  
14 States government or (b) the taxpayer is not  
15 doing business in the state of the destination of  
16 the shipment.

17 (2) In the case of a railroad or interurban railway  
18 enterprise, the numerator of the fraction shall  
19 not be less than the allocation of revenues to  
20 this state as shown in its annual report to the  
21 Corporation Commission.

22 (3) In the case of an airline, truck or bus  
23 enterprise or freight car, tank car, refrigerator  
24 car or other railroad equipment enterprise, the



1 numerator of the fraction shall include a portion  
2 of revenue from interstate transportation in the  
3 proportion that interstate mileage traveled in  
4 Oklahoma bears to total interstate mileage  
5 traveled.

6 (4) In the case of an oil, gasoline or gas pipeline  
7 enterprise, the numerator of the fraction shall  
8 be either the total of traffic units of the  
9 enterprise within Oklahoma or the revenue  
10 allocated to Oklahoma based upon miles moved, at  
11 the option of the taxpayer, and the denominator  
12 of which shall be the total of traffic units of  
13 the enterprise or the revenue of the enterprise  
14 everywhere as appropriate to the numerator. A  
15 "traffic unit" is hereby defined as the  
16 transportation for a distance of one (1) mile of  
17 one (1) barrel of oil, one (1) gallon of gasoline  
18 or one thousand (1,000) cubic feet of natural or  
19 casinghead gas, as the case may be.

20 (5) In the case of a telephone or telegraph or other  
21 communication enterprise, the numerator of the  
22 fraction shall include that portion of the  
23 interstate revenue as is allocated pursuant to  
24 the accounting procedures prescribed by the

1 Federal Communications Commission; provided that  
2 in respect to each corporation or business entity  
3 required by the Federal Communications Commission  
4 to keep its books and records in accordance with  
5 a uniform system of accounts prescribed by such  
6 Commission, the intrastate net income shall be  
7 determined separately in the manner provided by  
8 such uniform system of accounts and only the  
9 interstate income shall be subject to allocation  
10 pursuant to the provisions of this subsection.  
11 Provided further, that the gross revenue factors  
12 shall be those as are determined pursuant to the  
13 accounting procedures prescribed by the Federal  
14 Communications Commission.

15 In any case where the apportionment of the three factors  
16 prescribed in this paragraph attributes to Oklahoma a portion of net  
17 income of the enterprise out of all appropriate proportion to the  
18 property owned and/or business transacted within this state, because  
19 of the fact that one or more of the factors so prescribed are not  
20 employed to any appreciable extent in furtherance of the enterprise;  
21 or because one or more factors not so prescribed are employed to a  
22 considerable extent in furtherance of the enterprise; or because of  
23 other reasons, the Tax Commission is empowered to permit, after a  
24 showing by taxpayer that an excessive portion of net income has been

1 attributed to Oklahoma, or require, when in its judgment an  
2 insufficient portion of net income has been attributed to Oklahoma,  
3 the elimination, substitution, or use of additional factors, or  
4 reduction or increase in the weight of such prescribed factors.  
5 Provided, however, that any such variance from such prescribed  
6 factors which has the effect of increasing the portion of net income  
7 attributable to Oklahoma must not be inherently arbitrary, and  
8 application of the recomputed final apportionment to the net income  
9 of the enterprise must attribute to Oklahoma only a reasonable  
10 portion thereof.

11       6. For calendar years 1997 and 1998, the owner of a new or  
12 expanded agricultural commodity processing facility in this state  
13 may exclude from Oklahoma taxable income, or in the case of an  
14 individual, the Oklahoma adjusted gross income, fifteen percent  
15 (15%) of the investment by the owner in the new or expanded  
16 agricultural commodity processing facility. For calendar year 1999,  
17 and all subsequent years, the percentage, not to exceed fifteen  
18 percent (15%), available to the owner of a new or expanded  
19 agricultural commodity processing facility in this state claiming  
20 the exemption shall be adjusted annually so that the total estimated  
21 reduction in tax liability does not exceed One Million Dollars  
22 (\$1,000,000.00) annually. The Tax Commission shall promulgate rules  
23 for determining the percentage of the investment which each eligible  
24 taxpayer may exclude. The exclusion provided by this paragraph

1 shall be taken in the taxable year when the investment is made. In  
2 the event the total reduction in tax liability authorized by this  
3 paragraph exceeds One Million Dollars (\$1,000,000.00) in any  
4 calendar year, the Tax Commission shall permit any excess over One  
5 Million Dollars (\$1,000,000.00) and shall factor such excess into  
6 the percentage for subsequent years. Any amount of the exemption  
7 permitted to be excluded pursuant to the provisions of this  
8 paragraph but not used in any year may be carried forward as an  
9 exemption from income pursuant to the provisions of this paragraph  
10 for a period not exceeding six (6) years following the year in which  
11 the investment was originally made.

12 For purposes of this paragraph:

13 a. "Agricultural commodity processing facility" means  
14 building, structures, fixtures and improvements used  
15 or operated primarily for the processing or production  
16 of marketable products from agricultural commodities.  
17 The term shall also mean a dairy operation that  
18 requires a depreciable investment of at least Two  
19 Hundred Fifty Thousand Dollars (\$250,000.00) and which  
20 produces milk from dairy cows. The term does not  
21 include a facility that provides only, and nothing  
22 more than, storage, cleaning, drying or transportation  
23 of agricultural commodities, and  
24

b. "Facility" means each part of the facility which is used in a process primarily for:

- (1) the processing of agricultural commodities, including receiving or storing agricultural commodities, or the production of milk at a dairy operation,
- (2) transporting the agricultural commodities or product before, during or after the processing, or
- (3) packaging or otherwise preparing the product for sale or shipment.

7. Despite any provision to the contrary in paragraph 3 of this subsection, for taxable years beginning after December 31, 1999, in the case of a taxpayer which has a farming loss, such farming loss shall be considered a net operating loss carryback in accordance with and to the extent of the Internal Revenue Code, 26 U.S.C., Section 172(b)(G). However, the amount of the net operating loss carryback shall not exceed the lesser of:

- a. Sixty Thousand Dollars (\$60,000.00), or
- b. the loss properly shown on Schedule F of the Internal Revenue Service Form 1040 reduced by one-half (1/2) of the income from all other sources other than reflected on Schedule F.

1        8. In taxable years beginning after December 31, 1995, all  
2 qualified wages equal to the federal income tax credit set forth in  
3 26 U.S.C.A., Section 45A, shall be deducted from taxable income.  
4 The deduction allowed pursuant to this paragraph shall only be  
5 permitted for the tax years in which the federal tax credit pursuant  
6 to 26 U.S.C.A., Section 45A, is allowed. For purposes of this  
7 paragraph, "qualified wages" means those wages used to calculate the  
8 federal credit pursuant to 26 U.S.C.A., Section 45A.

9        9. In taxable years beginning after December 31, 2005, an  
10 employer that is eligible for and utilizes the Safety Pays OSHA  
11 Consultation Service provided by the Oklahoma Department of Labor  
12 shall receive an exemption from taxable income in the amount of One  
13 Thousand Dollars (\$1,000.00) for the tax year that the service is  
14 utilized.

15        10. For taxable years beginning on or after January 1, 2010,  
16 there shall be added to Oklahoma taxable income an amount equal to  
17 the amount of deferred income not included in such taxable income  
18 pursuant to Section 108(i)(1) of the Internal Revenue Code of 1986  
19 as amended by Section 1231 of the American Recovery and Reinvestment  
20 Act of 2009 (P.L. No. 111-5). There shall be subtracted from  
21 Oklahoma taxable income an amount equal to the amount of deferred  
22 income included in such taxable income pursuant to Section 108(i)(1)  
23 of the Internal Revenue Code by Section 1231 of the American  
24 Recovery and Reinvestment Act of 2009 (P.L. No. 111-5).

1        11. For taxable years beginning on or after January 1, 2019,  
2 there shall be subtracted from Oklahoma taxable income or adjusted  
3 gross income any item of income or gain, and there shall be added to  
4 Oklahoma taxable income or adjusted gross income any item of loss or  
5 deduction that in the absence of an election pursuant to the  
6 provisions of the Pass-Through Entity Tax Equity Act of 2019 would  
7 be allocated to a member or to an indirect member of an electing  
8 pass-through entity pursuant to Section 2351 et seq. of this title,  
9 if (i) the electing pass-through entity has accounted for such item  
10 in computing its Oklahoma net entity income or loss pursuant to the  
11 provisions of the Pass-Through Entity Tax Equity Act of 2019, and  
12 (ii) the total amount of tax attributable to any resulting Oklahoma  
13 net entity income has been paid. The Oklahoma Tax Commission shall  
14 promulgate rules for the reporting of such exclusion to direct and  
15 indirect members of the electing pass-through entity. As used in  
16 this paragraph, "electing pass-through entity", "indirect member",  
17 and "member" shall be defined in the same manner as prescribed by  
18 Section 2355.1P-2 of this title. Notwithstanding the application of  
19 this paragraph, the adjusted tax basis of any ownership interest in  
20 a pass-through entity for purposes of Section 2351 et seq. of this  
21 title shall be equal to its adjusted tax basis for federal income  
22 tax purposes.

23        B. 1. The taxable income of any corporation shall be further  
24 adjusted to arrive at Oklahoma taxable income, except those

1 corporations electing treatment as provided in subchapter S of the  
2 Internal Revenue Code, 26 U.S.C., Section 1361 et seq., and Section  
3 2365 of this title, deductions pursuant to the provisions of the  
4 Accelerated Cost Recovery System as defined and allowed in the  
5 Economic Recovery Tax Act of 1981, Public Law 97-34, 26 U.S.C.,  
6 Section 168, for depreciation of assets placed into service after  
7 December 31, 1981, shall not be allowed in calculating Oklahoma  
8 taxable income. Such corporations shall be allowed a deduction for  
9 depreciation of assets placed into service after December 31, 1981,  
10 in accordance with provisions of the Internal Revenue Code, 26  
11 U.S.C., Section 1 et seq., in effect immediately prior to the  
12 enactment of the Accelerated Cost Recovery System. The Oklahoma tax  
13 basis for all such assets placed into service after December 31,  
14 1981, calculated in this section shall be retained and utilized for  
15 all Oklahoma income tax purposes through the final disposition of  
16 such assets.

17 Notwithstanding any other provisions of the Oklahoma Income Tax  
18 Act, Section 2351 et seq. of this title, or of the Internal Revenue  
19 Code to the contrary, this subsection shall control calculation of  
20 depreciation of assets placed into service after December 31, 1981,  
21 and before January 1, 1983.

22 For assets placed in service and held by a corporation in which  
23 accelerated cost recovery system was previously disallowed, an  
24 adjustment to taxable income is required in the first taxable year



1 beginning after December 31, 1982, to reconcile the basis of such  
2 assets to the basis allowed in the Internal Revenue Code. The  
3 purpose of this adjustment is to equalize the basis and allowance  
4 for depreciation accounts between that reported to the Internal  
5 Revenue Service and that reported to Oklahoma.

6 2. For tax years beginning on or after January 1, 2009, and  
7 ending on or before December 31, 2009, there shall be added to  
8 Oklahoma taxable income any amount in excess of One Hundred Seventy-  
9 five Thousand Dollars (\$175,000.00) which has been deducted as a  
10 small business expense under Internal Revenue Code, Section 179 as  
11 provided in the American Recovery and Reinvestment Act of 2009.

12 C. 1. For taxable years beginning after December 31, 1987, the  
13 taxable income of any corporation shall be further adjusted to  
14 arrive at Oklahoma taxable income for transfers of technology to  
15 qualified small businesses located in Oklahoma. Such transferor  
16 corporation shall be allowed an exemption from taxable income of an  
17 amount equal to the amount of royalty payment received as a result  
18 of such transfer; provided, however, such amount shall not exceed  
19 ten percent (10%) of the amount of gross proceeds received by such  
20 transferor corporation as a result of the technology transfer. Such  
21 exemption shall be allowed for a period not to exceed ten (10) years  
22 from the date of receipt of the first royalty payment accruing from  
23 such transfer. No exemption may be claimed for transfers of  
24

1 technology to qualified small businesses made prior to January 1,  
2 1988.

3 2. For purposes of this subsection:

4 a. "Qualified small business" means an entity, whether  
5 organized as a corporation, partnership, or  
6 proprietorship, organized for profit with its  
7 principal place of business located within this state  
8 and which meets the following criteria:

9 (1) Capitalization of not more than Two Hundred Fifty  
10 Thousand Dollars (\$250,000.00),

11 (2) Having at least fifty percent (50%) of its  
12 employees and assets located in Oklahoma at the  
13 time of the transfer, and

14 (3) Not a subsidiary or affiliate of the transferor  
15 corporation;

16 b. "Technology" means a proprietary process, formula,  
17 pattern, device or compilation of scientific or  
18 technical information which is not in the public  
19 domain;

20 c. "Transferor corporation" means a corporation which is  
21 the exclusive and undisputed owner of the technology  
22 at the time the transfer is made; and  
23  
24

1           d.   "Gross proceeds" means the total amount of  
2               consideration for the transfer of technology, whether  
3               the consideration is in money or otherwise.

4           D. 1. For taxable years beginning after December 31, 2005, the  
5 taxable income of any corporation, estate or trust, shall be further  
6 adjusted for qualifying gains receiving capital treatment. Such  
7 corporations, estates or trusts shall be allowed a deduction from  
8 Oklahoma taxable income for the amount of qualifying gains receiving  
9 capital treatment earned by the corporation, estate or trust during  
10 the taxable year and included in the federal taxable income of such  
11 corporation, estate or trust.

12           2. As used in this subsection:

13           a.   "qualifying gains receiving capital treatment" means  
14               the amount of net capital gains, as defined in Section  
15               1222(11) of the Internal Revenue Code, included in the  
16               federal income tax return of the corporation, estate  
17               or trust that result from:

18               (1) the sale of real property or tangible personal  
19                   property located within Oklahoma that has been  
20                   directly or indirectly owned by the corporation,  
21                   estate or trust for a holding period of at least  
22                   five (5) years prior to the date of the  
23                   transaction from which such net capital gains  
24                   arise,

1 (2) the sale of stock or on the sale of an ownership  
2 interest in an Oklahoma company, limited  
3 liability company, or partnership where such  
4 stock or ownership interest has been directly or  
5 indirectly owned by the corporation, estate or  
6 trust for a holding period of at least three (3)  
7 years prior to the date of the transaction from  
8 which the net capital gains arise, or

9 (3) the sale of real property, tangible personal  
10 property or intangible personal property located  
11 within Oklahoma as part of the sale of all or  
12 substantially all of the assets of an Oklahoma  
13 company, limited liability company, or  
14 partnership where such property has been directly  
15 or indirectly owned by such entity owned by the  
16 owners of such entity, and used in or derived  
17 from such entity for a period of at least three  
18 (3) years prior to the date of the transaction  
19 from which the net capital gains arise,

20 b. "holding period" means an uninterrupted period of  
21 time. The holding period shall include any additional  
22 period when the property was held by another  
23 individual or entity, if such additional period is  
24

1 included in the taxpayer's holding period for the  
2 asset pursuant to the Internal Revenue Code,

3 c. "Oklahoma company", "limited liability company", or  
4 "partnership" means an entity whose primary  
5 headquarters have been located in Oklahoma for at  
6 least three (3) uninterrupted years prior to the date  
7 of the transaction from which the net capital gains  
8 arise,

9 d. "direct" means the taxpayer directly owns the asset,  
10 and

11 e. "indirect" means the taxpayer owns an interest in a  
12 pass-through entity (or chain of pass-through  
13 entities) that sells the asset that gives rise to the  
14 qualifying gains receiving capital treatment.

15 (1) With respect to sales of real property or  
16 tangible personal property located within  
17 Oklahoma, the deduction described in this  
18 subsection shall not apply unless the pass-  
19 through entity that makes the sale has held the  
20 property for not less than five (5) uninterrupted  
21 years prior to the date of the transaction that  
22 created the capital gain, and each pass-through  
23 entity included in the chain of ownership has  
24 been a member, partner, or shareholder of the

1 pass-through entity in the tier immediately below  
2 it for an uninterrupted period of not less than  
3 five (5) years.

4 (2) With respect to sales of stock or ownership  
5 interest in or sales of all or substantially all  
6 of the assets of an Oklahoma company, limited  
7 liability company, or partnership, the deduction  
8 described in this subsection shall not apply  
9 unless the pass-through entity that makes the  
10 sale has held the stock or ownership interest or  
11 the assets for not less than three (3)  
12 uninterrupted years prior to the date of the  
13 transaction that created the capital gain, and  
14 each pass-through entity included in the chain of  
15 ownership has been a member, partner or  
16 shareholder of the pass-through entity in the  
17 tier immediately below it for an uninterrupted  
18 period of not less than three (3) years.

19 E. The Oklahoma adjusted gross income of any individual  
20 taxpayer shall be further adjusted as follows to arrive at Oklahoma  
21 taxable income:

22 1. a. In the case of individuals, there shall be added or  
23 deducted, as the case may be, the difference necessary  
24 to allow personal exemptions of One Thousand Dollars

1 (\$1,000.00) in lieu of the personal exemptions allowed  
2 by the Internal Revenue Code.

3 b. There shall be allowed an additional exemption of One  
4 Thousand Dollars (\$1,000.00) for each taxpayer or  
5 spouse who is blind at the close of the tax year. For  
6 purposes of this subparagraph, an individual is blind  
7 only if the central visual acuity of the individual  
8 does not exceed 20/200 in the better eye with  
9 correcting lenses, or if the visual acuity of the  
10 individual is greater than 20/200, but is accompanied  
11 by a limitation in the fields of vision such that the  
12 widest diameter of the visual field subtends an angle  
13 no greater than twenty (20) degrees.

14 c. There shall be allowed an additional exemption of One  
15 Thousand Dollars (\$1,000.00) for each taxpayer or  
16 spouse who is sixty-five (65) years of age or older at  
17 the close of the tax year based upon the filing status  
18 and federal adjusted gross income of the taxpayer.  
19 Taxpayers with the following filing status may claim  
20 this exemption if the federal adjusted gross income  
21 does not exceed:

22 (1) Twenty-five Thousand Dollars (\$25,000.00) if  
23 married and filing jointly,  
24

- 1 (2) Twelve Thousand Five Hundred Dollars (\$12,500.00)  
2 if married and filing separately,  
3 (3) Fifteen Thousand Dollars (\$15,000.00) if single,  
4 and  
5 (4) Nineteen Thousand Dollars (\$19,000.00) if a  
6 qualifying head of household.

7 Provided, for taxable years beginning after December  
8 31, 1999, amounts included in the calculation of  
9 federal adjusted gross income pursuant to the  
10 conversion of a traditional individual retirement  
11 account to a Roth individual retirement account shall  
12 be excluded from federal adjusted gross income for  
13 purposes of the income thresholds provided in this  
14 subparagraph.

- 15 2. a. For taxable years beginning on or before December 31,  
16 2005, in the case of individuals who use the standard  
17 deduction in determining taxable income, there shall  
18 be added or deducted, as the case may be, the  
19 difference necessary to allow a standard deduction in  
20 lieu of the standard deduction allowed by the Internal  
21 Revenue Code, in an amount equal to the larger of  
22 fifteen percent (15%) of the Oklahoma adjusted gross  
23 income or One Thousand Dollars (\$1,000.00), but not to  
24 exceed Two Thousand Dollars (\$2,000.00), except that



1 in the case of a married individual filing a separate  
2 return such deduction shall be the larger of fifteen  
3 percent (15%) of such Oklahoma adjusted gross income  
4 or Five Hundred Dollars (\$500.00), but not to exceed  
5 the maximum amount of One Thousand Dollars  
6 (\$1,000.00).

7 b. For taxable years beginning on or after January 1,  
8 2006, and before January 1, 2007, in the case of  
9 individuals who use the standard deduction in  
10 determining taxable income, there shall be added or  
11 deducted, as the case may be, the difference necessary  
12 to allow a standard deduction in lieu of the standard  
13 deduction allowed by the Internal Revenue Code, in an  
14 amount equal to:

15 (1) Three Thousand Dollars (\$3,000.00), if the filing  
16 status is married filing joint, head of household  
17 or qualifying widow, or

18 (2) Two Thousand Dollars (\$2,000.00), if the filing  
19 status is single or married filing separate.

20 c. For the taxable year beginning on January 1, 2007, and  
21 ending December 31, 2007, in the case of individuals  
22 who use the standard deduction in determining taxable  
23 income, there shall be added or deducted, as the case  
24 may be, the difference necessary to allow a standard

1 deduction in lieu of the standard deduction allowed by  
2 the Internal Revenue Code, in an amount equal to:

3 (1) Five Thousand Five Hundred Dollars (\$5,500.00),  
4 if the filing status is married filing joint or  
5 qualifying widow, or

6 (2) Four Thousand One Hundred Twenty-five Dollars  
7 (\$4,125.00) for a head of household, or

8 (3) Two Thousand Seven Hundred Fifty Dollars  
9 (\$2,750.00), if the filing status is single or  
10 married filing separate.

11 d. For the taxable year beginning on January 1, 2008, and  
12 ending December 31, 2008, in the case of individuals  
13 who use the standard deduction in determining taxable  
14 income, there shall be added or deducted, as the case  
15 may be, the difference necessary to allow a standard  
16 deduction in lieu of the standard deduction allowed by  
17 the Internal Revenue Code, in an amount equal to:

18 (1) Six Thousand Five Hundred Dollars (\$6,500.00), if  
19 the filing status is married filing joint or  
20 qualifying widow,

21 (2) Four Thousand Eight Hundred Seventy-five Dollars  
22 (\$4,875.00) for a head of household, or  
23  
24

1 (3) Three Thousand Two Hundred Fifty Dollars

2 (\$3,250.00), if the filing status is single or  
3 married filing separate.

4 e. For the taxable year beginning on January 1, 2009, and  
5 ending December 31, 2009, in the case of individuals  
6 who use the standard deduction in determining taxable  
7 income, there shall be added or deducted, as the case  
8 may be, the difference necessary to allow a standard  
9 deduction in lieu of the standard deduction allowed by  
10 the Internal Revenue Code, in an amount equal to:

11 (1) Eight Thousand Five Hundred Dollars (\$8,500.00),  
12 if the filing status is married filing joint or  
13 qualifying widow,

14 (2) Six Thousand Three Hundred Seventy-five Dollars  
15 (\$6,375.00) for a head of household, or

16 (3) Four Thousand Two Hundred Fifty Dollars  
17 (\$4,250.00), if the filing status is single or  
18 married filing separate.

19 Oklahoma adjusted gross income shall be increased by  
20 any amounts paid for motor vehicle excise taxes which  
21 were deducted as allowed by the Internal Revenue Code.

22 f. For taxable years beginning on or after January 1,  
23 2010, and ending on December 31, 2016, in the case of  
24 individuals who use the standard deduction in

determining taxable income, there shall be added or deducted, as the case may be, the difference necessary to allow a standard deduction equal to the standard deduction allowed by the Internal Revenue Code, based upon the amount and filing status prescribed by such Code for purposes of filing federal individual income tax returns.

g. For taxable years beginning on or after January 1, 2017, and ending December 31, 2025, in the case of individuals who use the standard deduction in determining taxable income, there shall be added or deducted, as the case may be, the difference necessary to allow a standard deduction in lieu of the standard deduction allowed by the Internal Revenue Code, as follows:

- (1) Six Thousand Three Hundred Fifty Dollars (\$6,350.00) for single or married filing separately,
- (2) Twelve Thousand Seven Hundred Dollars (\$12,700.00) for married filing jointly or qualifying widower with dependent child, and
- (3) Nine Thousand Three Hundred Fifty Dollars (\$9,350.00) for head of household.

1        h. For taxable years beginning on or after January 1,  
2        2026, in the case of individuals who use the standard  
3        deduction in determining taxable income, there shall  
4        be added or deducted, as the case may be, the  
5        difference necessary to allow a standard deduction in  
6        lieu of the standard deduction allowed by the Internal  
7        Revenue Code, as follows:

8        (1) Ten Thousand Three Hundred Fifty Dollars  
9        (\$10,350.00) for single or married filing  
10       separately,

11       (2) Twenty Thousand Seven Hundred Dollars  
12       (\$20,700.00) for married filing jointly or  
13       qualifying widower with dependent child, and

14       (3) Fifteen Thousand Three Hundred Dollars  
15       (\$15,300.00) for head of household.

16       3.    a.    In the case of resident and part-year resident  
17       individuals having adjusted gross income from sources  
18       both within and without the state, the itemized or  
19       standard deductions and personal exemptions shall be  
20       reduced to an amount which is the same portion of the  
21       total thereof as Oklahoma adjusted gross income is of  
22       adjusted gross income. To the extent itemized  
23       deductions include allowable moving expense, proration  
24       of moving expense shall not be required or permitted

1 but allowable moving expense shall be fully deductible  
2 for those taxpayers moving within or into Oklahoma and  
3 no part of moving expense shall be deductible for  
4 those taxpayers moving without or out of Oklahoma.  
5 All other itemized or standard deductions and personal  
6 exemptions shall be subject to proration as provided  
7 by law.

8 b. For taxable years beginning on or after January 1,  
9 2018, the net amount of itemized deductions allowable  
10 on an Oklahoma income tax return, subject to the  
11 provisions of paragraph 24 of this subsection, shall  
12 not exceed Seventeen Thousand Dollars (\$17,000.00).  
13 For purposes of this subparagraph, charitable  
14 contributions and medical expenses deductible for  
15 federal income tax purposes shall be excluded from the  
16 amount of Seventeen Thousand Dollars (\$17,000.00) as  
17 specified by this subparagraph.

18 4. A resident individual with a physical disability  
19 constituting a substantial handicap to employment may deduct from  
20 Oklahoma adjusted gross income such expenditures to modify a motor  
21 vehicle, home or workplace as are necessary to compensate for his or  
22 her handicap. A veteran certified by the Department of Veterans  
23 Affairs of the federal government as having a service-connected  
24 disability shall be conclusively presumed to be an individual with a

1 physical disability constituting a substantial handicap to  
2 employment. The Tax Commission shall promulgate rules containing a  
3 list of combinations of common disabilities and modifications which  
4 may be presumed to qualify for this deduction. The Tax Commission  
5 shall prescribe necessary requirements for verification.

6       5.    a.    Before July 1, 2010, the first One Thousand Five  
7               Hundred Dollars (\$1,500.00) received by any person  
8               from the United States as salary or compensation in  
9               any form, other than retirement benefits, as a member  
10              of any component of the Armed Forces of the United  
11              States shall be deducted from taxable income.

12            b.    On or after July 1, 2010, one hundred percent (100%)  
13               of the income received by any person from the United  
14               States as salary or compensation in any form, other  
15               than retirement benefits, as a member of any component  
16               of the Armed Forces of the United States shall be  
17               deducted from taxable income.

18            c.    Whenever the filing of a timely income tax return by a  
19               member of the Armed Forces of the United States is  
20               made impracticable or impossible of accomplishment by  
21               reason of:

22               (1)   absence from the United States, which term  
23                      includes only the states and the District of  
24                      Columbia,

1           (2)   absence from the State of Oklahoma while on  
2               active duty, or

3           (3)   confinement in a hospital within the United  
4               States for treatment of wounds, injuries or  
5               disease,

6           the time for filing a return and paying an income tax  
7           shall be and is hereby extended without incurring  
8           liability for interest or penalties, to the fifteenth  
9           day of the third month following the month in which:

10           (a)   Such individual shall return to the United  
11               States if the extension is granted pursuant  
12               to subparagraph a of this paragraph, return  
13               to the State of Oklahoma if the extension is  
14               granted pursuant to subparagraph b of this  
15               paragraph or be discharged from such  
16               hospital if the extension is granted  
17               pursuant to subparagraph c of this  
18               paragraph, or

19           (b)   An executor, administrator, or conservator  
20               of the estate of the taxpayer is appointed,  
21               whichever event occurs the earliest.

22           Provided, that the Tax Commission may, in its discretion, grant  
23           any member of the Armed Forces of the United States an extension of  
24           time for filing of income tax returns and payment of income tax



1 without incurring liabilities for interest or penalties. Such  
2 extension may be granted only when in the judgment of the Tax  
3 Commission a good cause exists therefor and may be for a period in  
4 excess of six (6) months. A record of every such extension granted,  
5 and the reason therefor, shall be kept.

6 6. Before July 1, 2010, the salary or any other form of  
7 compensation, received from the United States by a member of any  
8 component of the Armed Forces of the United States, shall be  
9 deducted from taxable income during the time in which the person is  
10 detained by the enemy in a conflict, is a prisoner of war or is  
11 missing in action and not deceased; provided, after July 1, 2010,  
12 all such salary or compensation shall be subject to the deduction as  
13 provided pursuant to paragraph 5 of this subsection.

14 7. a. An individual taxpayer, whether resident or  
15 nonresident, may deduct an amount equal to the federal  
16 income taxes paid by the taxpayer during the taxable  
17 year.

18 b. Federal taxes as described in subparagraph a of this  
19 paragraph shall be deductible by any individual  
20 taxpayer, whether resident or nonresident, only to the  
21 extent they relate to income subject to taxation  
22 pursuant to the provisions of the Oklahoma Income Tax  
23 Act. The maximum amount allowable in the preceding  
24 paragraph shall be prorated on the ratio of the

Oklahoma adjusted gross income to federal adjusted gross income.

c. For the purpose of this paragraph, "federal income taxes paid" shall mean federal income taxes, surtaxes imposed on incomes or excess profits taxes, as though the taxpayer was on the accrual basis. In determining the amount of deduction for federal income taxes for tax year 2001, the amount of the deduction shall not be adjusted by the amount of any accelerated ten percent (10%) tax rate bracket credit or advanced refund of the credit received during the tax year provided pursuant to the federal Economic Growth and Tax Relief Reconciliation Act of 2001, P.L. No. 107-16, and the advanced refund of such credit shall not be subject to taxation.

d. The provisions of this paragraph shall apply to all taxable years ending after December 31, 1978, and beginning before January 1, 2006.

8. Retirement benefits not to exceed Five Thousand Five Hundred Dollars (\$5,500.00) for the 2004 tax year, Seven Thousand Five Hundred Dollars (\$7,500.00) for the 2005 tax year and Ten Thousand Dollars (\$10,000.00) for the 2006 tax year and all subsequent tax years, which are received by an individual from the civil service of the United States, the Oklahoma Public Employees Retirement System,

1 the Teachers' Retirement System of Oklahoma, the Oklahoma Law  
2 Enforcement Retirement System, the Oklahoma Firefighters Pension and  
3 Retirement System, the Oklahoma Police Pension and Retirement  
4 System, the employee retirement systems created by counties pursuant  
5 to Section 951 et seq. of Title 19 of the Oklahoma Statutes, the  
6 Uniform Retirement System for Justices and Judges, the Oklahoma  
7 Wildlife Conservation Department Retirement Fund, the Oklahoma  
8 Employment Security Commission Retirement Plan, or the employee  
9 retirement systems created by municipalities pursuant to Section 48-  
10 101 et seq. of Title 11 of the Oklahoma Statutes shall be exempt  
11 from taxable income.

12 9. In taxable years beginning after December 31, 1984, Social  
13 Security benefits received by an individual shall be exempt from  
14 taxable income, to the extent such benefits are included in the  
15 federal adjusted gross income pursuant to the provisions of Section  
16 86 of the Internal Revenue Code, 26 U.S.C., Section 86.

17 10. For taxable years beginning after December 31, 1994, lump-  
18 sum distributions from employer plans of deferred compensation,  
19 which are not qualified plans within the meaning of Section 401(a)  
20 of the Internal Revenue Code, 26 U.S.C., Section 401(a), and which  
21 are deposited in and accounted for within a separate bank account or  
22 brokerage account in a financial institution within this state,  
23 shall be excluded from taxable income in the same manner as a  
24 qualifying rollover contribution to an individual retirement account

1 within the meaning of Section 408 of the Internal Revenue Code, 26  
2 U.S.C., Section 408. Amounts withdrawn from such bank or brokerage  
3 account, including any earnings thereon, shall be included in  
4 taxable income when withdrawn in the same manner as withdrawals from  
5 individual retirement accounts within the meaning of Section 408 of  
6 the Internal Revenue Code.

7 11. In taxable years beginning after December 31, 1995,  
8 contributions made to and interest received from a medical savings  
9 account established pursuant to Sections 2621 through 2623 of Title  
10 63 of the Oklahoma Statutes shall be exempt from taxable income.

11 12. For taxable years beginning after December 31, 1996, the  
12 Oklahoma adjusted gross income of any individual taxpayer who is a  
13 swine or poultry producer may be further adjusted for the deduction  
14 for depreciation allowed for new construction or expansion costs  
15 which may be computed using the same depreciation method elected for  
16 federal income tax purposes except that the useful life shall be  
17 seven (7) years for purposes of this paragraph. If depreciation is  
18 allowed as a deduction in determining the adjusted gross income of  
19 an individual, any depreciation calculated and claimed pursuant to  
20 this section shall in no event be a duplication of any depreciation  
21 allowed or permitted on the federal income tax return of the  
22 individual.

23 13. a. In taxable years beginning before January 1, 2005,  
24 retirement benefits not to exceed the amounts

1 specified in this paragraph, which are received by an  
2 individual sixty-five (65) years of age or older and  
3 whose Oklahoma adjusted gross income is Twenty-five  
4 Thousand Dollars (\$25,000.00) or less if the filing  
5 status is single, head of household, or married filing  
6 separate, or Fifty Thousand Dollars (\$50,000.00) or  
7 less if the filing status is married filing joint or  
8 qualifying widow, shall be exempt from taxable income.  
9 In taxable years beginning after December 31, 2004,  
10 retirement benefits not to exceed the amounts  
11 specified in this paragraph, which are received by an  
12 individual whose Oklahoma adjusted gross income is  
13 less than the qualifying amount specified in this  
14 paragraph, shall be exempt from taxable income.

15 b. For purposes of this paragraph, the qualifying amount  
16 shall be as follows:

17 (1) in taxable years beginning after December 31,  
18 2004, and prior to January 1, 2007, the  
19 qualifying amount shall be Thirty-seven Thousand  
20 Five Hundred Dollars (\$37,500.00) or less if the  
21 filing status is single, head of household, or  
22 married filing separate, or Seventy-five Thousand  
23 Dollars (\$75,000.00) or less if the filing status  
24 is married filing jointly or qualifying widow,

- 1 (2) in the taxable year beginning January 1, 2007,  
2 the qualifying amount shall be Fifty Thousand  
3 Dollars (\$50,000.00) or less if the filing status  
4 is single, head of household, or married filing  
5 separate, or One Hundred Thousand Dollars  
6 (\$100,000.00) or less if the filing status is  
7 married filing jointly or qualifying widow,
- 8 (3) in the taxable year beginning January 1, 2008,  
9 the qualifying amount shall be Sixty-two Thousand  
10 Five Hundred Dollars (\$62,500.00) or less if the  
11 filing status is single, head of household, or  
12 married filing separate, or One Hundred Twenty-  
13 five Thousand Dollars (\$125,000.00) or less if  
14 the filing status is married filing jointly or  
15 qualifying widow,
- 16 (4) in the taxable year beginning January 1, 2009,  
17 the qualifying amount shall be One Hundred  
18 Thousand Dollars (\$100,000.00) or less if the  
19 filing status is single, head of household, or  
20 married filing separate, or Two Hundred Thousand  
21 Dollars (\$200,000.00) or less if the filing  
22 status is married filing jointly or qualifying  
23 widow, and  
24

1 (5) in the taxable year beginning January 1, 2010,  
2 and subsequent taxable years, there shall be no  
3 limitation upon the qualifying amount.

4 c. For purposes of this paragraph, "retirement benefits"  
5 means the total distributions or withdrawals from the  
6 following:

7 (1) an employee pension benefit plan which satisfies  
8 the requirements of Section 401 of the Internal  
9 Revenue Code, 26 U.S.C., Section 401,

10 (2) an eligible deferred compensation plan that  
11 satisfies the requirements of Section 457 of the  
12 Internal Revenue Code, 26 U.S.C., Section 457,

13 (3) an individual retirement account, annuity or  
14 trust or simplified employee pension that  
15 satisfies the requirements of Section 408 of the  
16 Internal Revenue Code, 26 U.S.C., Section 408,

17 (4) an employee annuity subject to the provisions of  
18 Section 403(a) or (b) of the Internal Revenue  
19 Code, 26 U.S.C., Section 403(a) or (b),

20 (5) United States Retirement Bonds which satisfy the  
21 requirements of Section 86 of the Internal  
22 Revenue Code, 26 U.S.C., Section 86, or

23 (6) lump-sum distributions from a retirement plan  
24 which satisfies the requirements of Section

402(e) of the Internal Revenue Code, 26 U.S.C.,  
Section 402(e).

d. The amount of the exemption provided by this paragraph shall be limited to Five Thousand Five Hundred Dollars (\$5,500.00) for the 2004 tax year, Seven Thousand Five Hundred Dollars (\$7,500.00) for the 2005 tax year and Ten Thousand Dollars (\$10,000.00) for the tax year 2006 and for all subsequent tax years. Any individual who claims the exemption provided for in paragraph 8 of this subsection shall not be permitted to claim a combined total exemption pursuant to this paragraph and paragraph 8 of this subsection in an amount exceeding Five Thousand Five Hundred Dollars (\$5,500.00) for the 2004 tax year, Seven Thousand Five Hundred Dollars (\$7,500.00) for the 2005 tax year and Ten Thousand Dollars (\$10,000.00) for the 2006 tax year and all subsequent tax years.

14. In taxable years beginning after December 31, 1999, for an individual engaged in production agriculture who has filed a Schedule F form with the taxpayer's federal income tax return for such taxable year, there shall be excluded from taxable income any amount which was included as federal taxable income or federal adjusted gross income and which consists of the discharge of an



1 obligation by a creditor of the taxpayer incurred to finance the  
2 production of agricultural products.

3 15. In taxable years beginning December 31, 2000, an amount  
4 equal to one hundred percent (100%) of the amount of any scholarship  
5 or stipend received from participation in the Oklahoma Police Corps  
6 Program, as established in Section 2-140.3 of Title 47 of the  
7 Oklahoma Statutes shall be exempt from taxable income.

8 16. a. In taxable years beginning after December 31, 2001,  
9 and before January 1, 2005, there shall be allowed a  
10 deduction in the amount of contributions to accounts  
11 established pursuant to the Oklahoma College Savings  
12 Plan Act. The deduction shall equal the amount of  
13 contributions to accounts, but in no event shall the  
14 deduction for each contributor exceed Two Thousand  
15 Five Hundred Dollars (\$2,500.00) each taxable year for  
16 each account.

17 b. In taxable years beginning after December 31, 2004,  
18 each taxpayer shall be allowed a deduction for  
19 contributions to accounts established pursuant to the  
20 Oklahoma College Savings Plan Act. The maximum annual  
21 deduction shall equal the amount of contributions to  
22 all such accounts plus any contributions to such  
23 accounts by the taxpayer for prior taxable years after  
24 December 31, 2004, which were not deducted, but in no

1 event shall the deduction for each tax year exceed Ten  
2 Thousand Dollars (\$10,000.00) for each individual  
3 taxpayer or Twenty Thousand Dollars (\$20,000.00) for  
4 taxpayers filing a joint return. Any amount of a  
5 contribution that is not deducted by the taxpayer in  
6 the year for which the contribution is made may be  
7 carried forward as a deduction from income for the  
8 succeeding five (5) years. For taxable years  
9 beginning after December 31, 2005, deductions may be  
10 taken for contributions and rollovers made during a  
11 taxable year and up to April 15 of the succeeding  
12 year, or the due date of a taxpayer's state income tax  
13 return, excluding extensions, whichever is later.  
14 Provided, a deduction for the same contribution may  
15 not be taken for two (2) different taxable years.

16 c. In taxable years beginning after December 31, 2006,  
17 deductions for contributions made pursuant to  
18 subparagraph b of this paragraph shall be limited as  
19 follows:

20 (1) for a taxpayer who qualified for the five-year  
21 carryforward election and who takes a rollover or  
22 nonqualified withdrawal during that period, the  
23 tax deduction otherwise available pursuant to  
24 subparagraph b of this paragraph shall be reduced

1 by the amount which is equal to the rollover or  
2 nonqualified withdrawal, and

3 (2) for a taxpayer who elects to take a rollover or  
4 nonqualified withdrawal within the same tax year  
5 in which a contribution was made to the  
6 taxpayer's account, the tax deduction otherwise  
7 available pursuant to subparagraph b of this  
8 paragraph shall be reduced by the amount of the  
9 contribution which is equal to the rollover or  
10 nonqualified withdrawal.

11 d. If a taxpayer elects to take a rollover on a  
12 contribution for which a deduction has been taken  
13 pursuant to subparagraph b of this paragraph within  
14 one (1) year of the date of contribution, the amount  
15 of such rollover shall be included in the adjusted  
16 gross income of the taxpayer in the taxable year of  
17 the rollover.

18 e. If a taxpayer makes a nonqualified withdrawal of  
19 contributions for which a deduction was taken pursuant  
20 to subparagraph b of this paragraph, such nonqualified  
21 withdrawal and any earnings thereon shall be included  
22 in the adjusted gross income of the taxpayer in the  
23 taxable year of the nonqualified withdrawal.

24 f. As used in this paragraph:

1           (1) "non-qualified withdrawal" means a withdrawal  
2           from an Oklahoma College Savings Plan account  
3           other than one of the following:  
4           (a) a qualified withdrawal,  
5           (b) a withdrawal made as a result of the death  
6           or disability of the designated beneficiary  
7           of an account,  
8           (c) a withdrawal that is made on the account of  
9           a scholarship or the allowance or payment  
10          described in Section 135(d)(1)(B) or (C) or  
11          by the Internal Revenue Code, received by  
12          the designated beneficiary to the extent the  
13          amount of the refund does not exceed the  
14          amount of the scholarship, allowance, or  
15          payment, or  
16          (d) a rollover or change of designated  
17          beneficiary as permitted by subsection F of  
18          Section 3970.7 of Title 70 of Oklahoma  
19          Statutes, and

20          (2) "rollover" means the transfer of funds from the  
21          Oklahoma College Savings Plan to any other plan  
22          under Section 529 of the Internal Revenue Code.

23          17. For tax years 2006 through 2021, retirement benefits  
24          received by an individual from any component of the Armed Forces of

1 the United States in an amount not to exceed the greater of seventy-  
2 five percent (75%) of such benefits or Ten Thousand Dollars  
3 (\$10,000.00) shall be exempt from taxable income but in no case less  
4 than the amount of the exemption provided by paragraph 13 of this  
5 subsection. For tax year 2022 and subsequent tax years, retirement  
6 benefits received by an individual from any component of the Armed  
7 Forces of the United States shall be exempt from taxable income.

8 18. For taxable years beginning after December 31, 2006,  
9 retirement benefits received by federal civil service retirees,  
10 including survivor annuities, paid in lieu of Social Security  
11 benefits shall be exempt from taxable income to the extent such  
12 benefits are included in the federal adjusted gross income pursuant  
13 to the provisions of Section 86 of the Internal Revenue Code, 26  
14 U.S.C., Section 86, according to the following schedule:

- 15 a. in the taxable year beginning January 1, 2007, twenty  
16 percent (20%) of such benefits shall be exempt,
- 17 b. in the taxable year beginning January 1, 2008, forty  
18 percent (40%) of such benefits shall be exempt,
- 19 c. in the taxable year beginning January 1, 2009, sixty  
20 percent (60%) of such benefits shall be exempt,
- 21 d. in the taxable year beginning January 1, 2010, eighty  
22 percent (80%) of such benefits shall be exempt, and  
23  
24

1           e.    in the taxable year beginning January 1, 2011, and  
2                subsequent taxable years, one hundred percent (100%)  
3                of such benefits shall be exempt.

4       19.   a.   For taxable years beginning after December 31, 2007, a  
5                resident individual may deduct up to Ten Thousand  
6                Dollars (\$10,000.00) from Oklahoma adjusted gross  
7                income if the individual, or the dependent of the  
8                individual, while living, donates one or more human  
9                organs of the individual to another human being for  
10              human organ transplantation. As used in this  
11              paragraph, "human organ" means all or part of a liver,  
12              pancreas, kidney, intestine, lung, or bone marrow. A  
13              deduction that is claimed under this paragraph may be  
14              claimed in the taxable year in which the human organ  
15              transplantation occurs.

16           b.   An individual may claim this deduction only once, and  
17                the deduction may be claimed only for unreimbursed  
18                expenses that are incurred by the individual and  
19                related to the organ donation of the individual.

20           c.   The Oklahoma Tax Commission shall promulgate rules to  
21                implement the provisions of this paragraph which shall  
22                contain a specific list of expenses which may be  
23                presumed to qualify for the deduction. The Tax  
24

Commission shall prescribe necessary requirements for verification.

20. For taxable years beginning after December 31, 2009, there shall be exempt from taxable income any amount received by the beneficiary of the death benefit for an emergency medical technician or a registered emergency medical responder provided by Section 1-2505.1 of Title 63 of the Oklahoma Statutes.

21. For taxable years beginning after December 31, 2008, taxable income shall be increased by any unemployment compensation exempted under Section 85(c) of the Internal Revenue Code, 26 U.S.C., Section 85(c) (2009).

22. For taxable years beginning after December 31, 2008, there shall be exempt from taxable income any payment in an amount less than Six Hundred Dollars (\$600.00) received by a person as an award for participation in a competitive livestock show event. For purposes of this paragraph, the payment shall be treated as a scholarship amount paid by the entity sponsoring the event and the sponsoring entity shall cause the payment to be categorized as a scholarship in its books and records.

23. For taxable years beginning on or after January 1, 2016, taxable income shall be increased by any amount of state and local sales or income taxes deducted under 26 U.S.C., Section 164 of the Internal Revenue Code. If the amount of state and local taxes deducted on the federal return is limited, taxable income on the

1 state return shall be increased only by the amount actually deducted  
2 after any such limitations are applied.

3 24. For taxable years beginning after December 31, 2020, each  
4 taxpayer shall be allowed a deduction for contributions to accounts  
5 established pursuant to the Achieving a Better Life Experience  
6 (ABLE) Program as established in Section 4001.1 et seq. of Title 56  
7 of the Oklahoma Statutes. For any tax year, the deduction provided  
8 for in this paragraph shall not exceed Ten Thousand Dollars  
9 (\$10,000.00) for an individual taxpayer or Twenty Thousand Dollars  
10 (\$20,000.00) for taxpayers filing a joint return. Any amount of  
11 contribution not deducted by the taxpayer in the tax year for which  
12 the contribution is made may be carried forward as a deduction from  
13 income for up to five (5) tax years. Deductions may be taken for  
14 contributions made during the tax year and through April 15 of the  
15 succeeding tax year, or through the due date of a taxpayer's state  
16 income tax return excluding extensions, whichever is later.  
17 Provided, a deduction for the same contribution may not be taken in  
18 more than one (1) tax year.

19 F. 1. For taxable years beginning after December 31, 2004, a  
20 deduction from the Oklahoma adjusted gross income of any individual  
21 taxpayer shall be allowed for qualifying gains receiving capital  
22 treatment that are included in the federal adjusted gross income of  
23 such individual taxpayer during the taxable year.

24 2. As used in this subsection:



1           a.    "qualifying gains receiving capital treatment" means  
2               the amount of net capital gains, as defined in Section  
3               1222(11) of the Internal Revenue Code, included in an  
4               individual taxpayer's federal income tax return that  
5               result from:

6               (1)   the sale of real property or tangible personal  
7                   property located within Oklahoma that has been  
8                   directly or indirectly owned by the individual  
9                   taxpayer for a holding period of at least five  
10                  (5) years prior to the date of the transaction  
11                  from which such net capital gains arise,

12              (2)   the sale of stock or the sale of a direct or  
13                  indirect ownership interest in an Oklahoma  
14                  company, limited liability company, or  
15                  partnership where such stock or ownership  
16                  interest has been directly or indirectly owned by  
17                  the individual taxpayer for a holding period of  
18                  at least two (2) years prior to the date of the  
19                  transaction from which the net capital gains  
20                  arise, or

21              (3)   the sale of real property, tangible personal  
22                  property or intangible personal property located  
23                  within Oklahoma as part of the sale of all or  
24                  substantially all of the assets of an Oklahoma

1                   company, limited liability company, or  
2                   partnership or an Oklahoma proprietorship  
3                   business enterprise where such property has been  
4                   directly or indirectly owned by such entity or  
5                   business enterprise or owned by the owners of  
6                   such entity or business enterprise for a period  
7                   of at least two (2) years prior to the date of  
8                   the transaction from which the net capital gains  
9                   arise,

10           b.    "holding period" means an uninterrupted period of  
11                   time. The holding period shall include any additional  
12                   period when the property was held by another  
13                   individual or entity, if such additional period is  
14                   included in the taxpayer's holding period for the  
15                   asset pursuant to the Internal Revenue Code,

16           c.    "Oklahoma company," "limited liability company," or  
17                   "partnership" means an entity whose primary  
18                   headquarters have been located in Oklahoma for at  
19                   least three (3) uninterrupted years prior to the date  
20                   of the transaction from which the net capital gains  
21                   arise,

22           d.    "direct" means the individual taxpayer directly owns  
23                   the asset,

1 e. "indirect" means the individual taxpayer owns an  
2 interest in a pass-through entity (or chain of pass-  
3 through entities) that sells the asset that gives rise  
4 to the qualifying gains receiving capital treatment.

5 (1) With respect to sales of real property or  
6 tangible personal property located within  
7 Oklahoma, the deduction described in this  
8 subsection shall not apply unless the pass-  
9 through entity that makes the sale has held the  
10 property for not less than five (5) uninterrupted  
11 years prior to the date of the transaction that  
12 created the capital gain, and each pass-through  
13 entity included in the chain of ownership has  
14 been a member, partner, or shareholder of the  
15 pass-through entity in the tier immediately below  
16 it for an uninterrupted period of not less than  
17 five (5) years.

18 (2) With respect to sales of stock or ownership  
19 interest in or sales of all or substantially all  
20 of the assets of an Oklahoma company, limited  
21 liability company, partnership or Oklahoma  
22 proprietorship business enterprise, the deduction  
23 described in this subsection shall not apply  
24 unless the pass-through entity that makes the

1 sale has held the stock or ownership interest for  
2 not less than two (2) uninterrupted years prior  
3 to the date of the transaction that created the  
4 capital gain, and each pass-through entity  
5 included in the chain of ownership has been a  
6 member, partner or shareholder of the pass-  
7 through entity in the tier immediately below it  
8 for an uninterrupted period of not less than two  
9 (2) years. For purposes of this division,  
10 uninterrupted ownership prior to July 1, 2007,  
11 shall be included in the determination of the  
12 required holding period prescribed by this  
13 division, and

14 f. "Oklahoma proprietorship business enterprise" means a  
15 business enterprise whose income and expenses have  
16 been reported on Schedule C or F of an individual  
17 taxpayer's federal income tax return, or any similar  
18 successor schedule published by the Internal Revenue  
19 Service and whose primary headquarters have been  
20 located in Oklahoma for at least three (3)  
21 uninterrupted years prior to the date of the  
22 transaction from which the net capital gains arise.

23 G. 1. For purposes of computing its Oklahoma taxable income  
24 under this section, the dividends-paid deduction otherwise allowed

1 by federal law in computing net income of a real estate investment  
2 trust that is subject to federal income tax shall be added back in  
3 computing the tax imposed by this state under this title if the real  
4 estate investment trust is a captive real estate investment trust.

5 2. For purposes of computing its Oklahoma taxable income under  
6 this section, a taxpayer shall add back otherwise deductible rents  
7 and interest expenses paid to a captive real estate investment trust  
8 that is not subject to the provisions of paragraph 1 of this  
9 subsection. As used in this subsection:

10 a. the term "real estate investment trust" or "REIT"  
11 means the meaning ascribed to such term in Section 856  
12 of the Internal Revenue Code,

13 b. the term "captive real estate investment trust" means  
14 a real estate investment trust, the shares or  
15 beneficial interests of which are not regularly traded  
16 on an established securities market and more than  
17 fifty percent (50%) of the voting power or value of  
18 the beneficial interests or shares of which are owned  
19 or controlled, directly or indirectly, or  
20 constructively, by a single entity that is:

21 (1) treated as an association taxable as a  
22 corporation under the Internal Revenue Code, and  
23  
24

1 (2) not exempt from federal income tax pursuant to  
2 the provisions of Section 501(a) of the Internal  
3 Revenue Code.

4 The term shall not include a real estate investment  
5 trust that is intended to be regularly traded on an  
6 established securities market, and that satisfies the  
7 requirements of Section 856(a)(5) and (6) of the U.S.  
8 Internal Revenue Code by reason of Section 856(h)(2)  
9 of the Internal Revenue Code,

10 c. the term "association taxable as a corporation" shall  
11 not include the following entities:

12 (1) any real estate investment trust as defined in  
13 paragraph a of this subsection other than a  
14 "captive real estate investment trust",

15 (2) any qualified real estate investment trust  
16 subsidiary under Section 856(i) of the Internal  
17 Revenue Code, other than a qualified REIT  
18 subsidiary of a "captive real estate investment  
19 trust",

20 (3) any Listed Australian Property Trust (meaning an  
21 Australian unit trust registered as a "Managed  
22 Investment Scheme" under the Australian  
23 Corporations Act in which the principal class of  
24 units is listed on a recognized stock exchange in

1 Australia and is regularly traded on an  
2 established securities market), or an entity  
3 organized as a trust, provided that a Listed  
4 Australian Property Trust owns or controls,  
5 directly or indirectly, seventy-five percent  
6 (75%) or more of the voting power or value of the  
7 beneficial interests or shares of such trust, or  
8 (4) any Qualified Foreign Entity, meaning a  
9 corporation, trust, association or partnership  
10 organized outside the laws of the United States  
11 and which satisfies the following criteria:  
12 (a) at least seventy-five percent (75%) of the  
13 entity's total asset value at the close of  
14 its taxable year is represented by real  
15 estate assets, as defined in Section  
16 856(c) (5) (B) of the Internal Revenue Code,  
17 thereby including shares or certificates of  
18 beneficial interest in any real estate  
19 investment trust, cash and cash equivalents,  
20 and U.S. Government securities,  
21 (b) the entity receives a dividend-paid  
22 deduction comparable to Section 561 of the  
23 Internal Revenue Code, or is exempt from  
24 entity level tax,

- 1 (c) the entity is required to distribute at  
2 least eighty-five percent (85%) of its  
3 taxable income, as computed in the  
4 jurisdiction in which it is organized, to  
5 the holders of its shares or certificates of  
6 beneficial interest on an annual basis,  
7 (d) not more than ten percent (10%) of the  
8 voting power or value in such entity is held  
9 directly or indirectly or constructively by  
10 a single entity or individual, or the shares  
11 or beneficial interests of such entity are  
12 regularly traded on an established  
13 securities market, and  
14 (e) the entity is organized in a country which  
15 has a tax treaty with the United States.

16 3. For purposes of this subsection, the constructive ownership  
17 rules of Section 318(a) of the Internal Revenue Code, as modified by  
18 Section 856(d)(5) of the Internal Revenue Code, shall apply in  
19 determining the ownership of stock, assets, or net profits of any  
20 person.

21 4. A real estate investment trust that does not become  
22 regularly traded on an established securities market within one (1)  
23 year of the date on which it first becomes a real estate investment  
24 trust shall be deemed not to have been regularly traded on an



1 established securities market, retroactive to the date it first  
2 became a real estate investment trust, and shall file an amended  
3 return reflecting such retroactive designation for any tax year or  
4 part year occurring during its initial year of status as a real  
5 estate investment trust. For purposes of this subsection, a real  
6 estate investment trust becomes a real estate investment trust on  
7 the first day it has both met the requirements of Section 856 of the  
8 Internal Revenue Code and has elected to be treated as a real estate  
9 investment trust pursuant to Section 856(c)(1) of the Internal  
10 Revenue Code.

11 SECTION 3. This act shall become effective January 1, 2026.

12

13 60-1-10214 MAH 01/13/25

14

15

16

17

18

19

20

21

22

23

24